

Q2 2026 Quarterly Report

My investment research began in February of 2026, so this will be my first quarterly report. These reports should act as my communication on my activity, current portfolio, and general thoughts. In Q2 2026, I spent the entire period building out my investing infrastructure and process. This includes developing reusable templates for historical data collection, qualitative assessments, and business model specific valuations. In addition, I have screened companies using detailed filters, written qualitative assessments, and evaluated companies. The overall goal remains to find undervalued companies, but this quarter has been spent laying the foundation to be able to wait for mispricings.

The research I have done has created a watchlist of companies; however as none are currently at attractive prices 100% of my portfolio is currently invested in short-term U.S. Treasury securities, which are currently yielding approximately 3.7% annually. This allows a liquid position ready for opportunities that may arise at any moment.

To quantify the work that has been done, I have some statistics to share. The universe I have been researching is companies under one billion dollars in market cap listed on the NYSE and NASDAQ. This initial universe represents the cleaner and more accessible portion of the small-company market. I began with NYSE and NASDAQ-listed companies because they were the most practical place to learn. Many of these businesses are easier to recognize, easier to research, and easier to understand than the more obscure areas of the market, which made them a logical starting point as I built my research process. While these companies are still smaller and less followed than large-cap securities, they are not necessarily the most obscure segment of the market. As my process develops, I expect to move further down the market-cap, liquidity, and coverage spectrum, where potential mispricings may be more common but where risks around disclosure, liquidity, and governance are also greater. So far, I have screened 712 companies through seven filters. The most important filter is understandability. With my current knowledge of businesses, many companies fail this filter, including technology companies, healthcare companies, and financial companies. The pass rate for understandability after 712 companies is 17.6%. In order for a company to be advanced to qualitative assessment, it must have at least mediocre results from the initial screening filters. The current pass rate from initial screening to further assessment is 9.8%, or 70

companies in total. Of those 70 companies, I have written qualitative assessments for 16, each accompanied by a historical financial document. After writing these assessments, a company is determined whether to be moved to valuation or not. The pass rate for qualitative assessments is 56.3%. This means that of the 712 companies I have researched, only 1.3% have been approved for valuation. Of the 1.3% ready for valuation, I have completed five detailed valuation models. All five valuations indicated the shares were trading above my estimated buy prices and therefore were placed on a watchlist.

Two companies stood out most during the quarter: John B. Sanfilippo & Son and Armanino Foods of Distinction. Neither became a purchase, but both were important because they were the clearest examples of the type of company I am trying to find. They are understandable, profitable, conservatively financed, and tied to durable food consumption. More importantly, both companies showed that the screening process can identify businesses that are meaningfully better than the average company reviewed.

John B. Sanfilippo & Son was one of the more interesting businesses I studied because it is a boring operating business with real scale in a niche category. The company processes, manufactures, markets, and distributes nuts, nut-related products, snack products, and nutrition bars. The core business is not difficult to understand. People will continue eating nuts, snack mixes, peanut butter, trail mixes, dried fruit, and related products for a long time. The company also has a more developed operating position than it may appear to have at first glance. It is not just a simple snack brand. It has vertically integrated processing capabilities, recognizable brands such as Fisher and Orchard Valley Harvest, private-label relationships, commercial ingredient sales, and contract manufacturing.

The financial history was strong enough to deserve a full valuation. Revenue grew from roughly \$542 million in 2007 to over \$1 billion in 2024, and operating income improved meaningfully over that same period. The company also reduced debt over the long term, avoided major dilution, improved margins, paid dividends, and produced strong recent returns on capital. That combination is rare. Many companies that look cheap on a screen fail because the business quality is poor, the balance sheet is weak, or management has diluted shareholders. JBSS was different. It looked like a real operating business that had improved over time.

The reason I did not purchase the stock comes down to price and risk. The business is better than average, but it is not perfect. Customer concentration is the biggest concern. Walmart and Target together accounted for more than half of fiscal 2025 sales, which is too important to ignore. The company is also exposed to commodity nut costs, weather, crop yields, retailer bargaining power, private-label competition, and working-capital swings. These risks do not make the business uninvestable, but they do mean the valuation has to be conservative. I do not think JBSS should be valued like a dominant branded consumer-staples company. Its advantage is more operational than brand-based. At the right price, that can still be attractive. At the current price reviewed, I did not think the margin of safety was large enough.

Armanino Foods of Distinction was the most financially impressive company I reviewed during the quarter. The company produces and markets upscale frozen and refrigerated food products, especially frozen pesto sauces, specialty sauces, stuffed pasta products, pasta sheets, cooked meat products, and related items. This is another business that is simple enough to understand. It sells into foodservice, retail, distributor, industrial, and international channels. The company does not appear to have a massive consumer brand moat, but it does appear to have a valuable niche built around quality, consistency, recipes, food safety, customer relationships, and reliable supply.

The financial history was unusually strong. Revenue increased from about \$19 million in 2007 to about \$76 million in 2025. Operating income increased from about \$1.4 million to about \$23.8 million over the same period. Net income increased from about \$0.9 million to about \$18.8 million. The margin expansion was the most impressive part. Operating margin increased from roughly 7% in 2007 to over 30% in 2025. The company also had no debt in the financial summary, a large cash balance, regular dividends, special dividends, share repurchases, and a declining share count over the long term. Of all the companies I reviewed, Armanino had one of the cleanest combinations of growth, profitability, balance sheet strength, and shareholder-friendly capital allocation.

The reason I did not purchase Armanino is that the quality of the historical record does not remove the need for a conservative valuation. The company is small, trades over-the-counter, has thinner disclosure than larger exchange-listed

companies, and has meaningful customer and distributor concentration. One non-exclusive national distributor handled more than half of gross sales in 2025. That does not automatically make the business weak, but it does create a real risk that needs to be understood. The other major question is margin sustainability. Operating margins above 30% are extraordinary for a small food manufacturer. Before assuming those margins are permanent, I would need to understand whether recent profitability is structural or temporarily helped by product mix, operating leverage, cost conditions, or specific customer wins.

Armanino is exactly the kind of company I want on a watchlist. It is understandable, debt-free, profitable, cash-rich, and has compounded very well over time. But a great company can still be a poor investment at the wrong price. I would rather follow the business closely and wait for an obvious opportunity than force the investment because the history is impressive.

The main lesson from both companies is that quality is necessary but not enough. JBSS and Armanino both passed the most important part of the process: they were businesses I could understand and would be willing to keep studying. But neither provided the combination of business quality, conservative value, and margin of safety required for purchase. This is the purpose of building the watchlist. A company rejected today is not forgotten. It becomes a reference point. If the price changes, the business improves, or my understanding deepens, the work can be revisited.

I do not have any ability or desire to predict macroeconomic outcomes but, I have three important ratios that support the lack of opportunities I have found thus far. As of this writing, the S&P 500 trailing P/E is approximately 31x, compared with a long-run average in the high teens. The Buffett Indicator (U.S. stock market value divided by U.S. GDP) is ~219-230% which is near record highs. Finally, the Shiller CAPE (current market price divided by 10 year average inflation adjusted earnings) is ~41x which is also near record highs, the record being in 1999 at 44.2x. It is important to note this does not mean a market decline is imminent, but rather supports why my research findings have produced a scarce opportunity set.

For the foreseeable future, I plan to continue screening companies, writing qualitative assessments, and evaluating companies with the goal of building my

watchlist of strike prices. The more companies I can research and add to a watchlist, the higher the probability of a potential investment. In addition, I plan to continue adding capital to the portfolio and reinvesting in treasuries each month.

The main lessons from this quarter are as follows. Value investing consists of a serious amount of time preparing for market failures. I recently read a quote from Buffett that exemplifies this, "It took Noah 20 years to build an ark. And people said he was being silly because the skies were beautiful. And of course, the whole time, he looked stupid - until it started raining. You can spend a long time building an ark while everybody else is out there enjoying the sun." A second lesson I have learned is thinking of the opportunity cost of my time. Because this work is being done outside of a full-time job, every hour spent on one company is an hour not spent on another. As companies pass initial screenings, it is important to focus my work on companies with the ripest potential first. For example, if two companies are nearly identical but one trades at a P/E of 250 and the other trades at a P/E of 20, there should be no question as to which deserves attention first. As Q3 begins, my focus remains unchanged: continue building the research library, continue adding capital, and remain patient until attractive opportunities appear.

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